UNDERWRITING GUIDELINES

LEVEL 1: RETAIL/SWIPED

- ✔ 75% or greater card present (swiped transactions)
- ✔ Average ticket less than $350
- ✔ High ticket less than $2,000

  (Three months bank statements required for any merchants requesting greater than $2,000 high ticket to verify appropriate cash flow)
- ✔ Processing volume less than

  $150,000 monthly (or $1.8M annually) for non-restricted merchants

  $85,000 monthly (or $1.0M annually) for restricted merchants**

  (** furniture stores and some contractors may require enhanced diligence)

  NOTE: that the restricted merchant guidelines on prohibited/restricted list may require additional documentation, i.e. copy of contractor's license, 6 months processing, etc.
- ✔ Future Delivery Exposure (FDX) less than 30 days

FDX represents the risk associated with merchants who do not provide the product or service at the time of sale, i.e. mail order and internet merchants. Some retail merchants may also require payments or deposits in advance such as furniture stores, bridal shops, gym memberships, catering, contractors, etc. This category of risk is usually the largest factor in our risk model.

FDX Formula: (Monthly Volume / 30 days) X Days Delivery X % of Deposit

Ex. 1: Roofing contractor with a $50,000 monthly volume with a 20% Deposit and 10 Day Delivery for completion.

($50,000 / 30 days) X 10 days delivery X 20% Deposit = $3,333

Ex 2: Roofing contractor with a $50,000 monthly volume with a full payment upfront (100%) and a 10 Day Delivery for completion.

($50,000 / 30 days) X 10 days delivery X 100% Deposit = $16,667

** If merchant does not meet all qualifications listed above it would not be considered a level 1 merchant.

Level 1 Documentation Requirements

1) **Fully completed and properly signed merchant agreement**, (Simplified Enrollment applications will need completed and passed identity verification in lieu of signed application) using the most current approved version of the merchant application including:

a. Physical address of business location (PO box not acceptable)
b. Federal Tax ID-TIN (Social Security Number in lieu of TIN for Sole Proprietor acceptable)
c. Length of Current ownership
d. Verifiable business phone number
e. Verifiable social security number (will require copy of Social security card and drivers' license for those applications where the credit analyst cannot verify the SS#)
f. Principal/Owner information and signature representing a minimum of 51% ownership of the company
g. Complete and accurate description of the products/services provided
h. Complete and accurate description of the method of sales and sales percentages (Retail, Mail Order, Phone Order)
i. Completed parameters (Average ticket, High ticket, monthly volume and high monthly volume)
j. Kiosks and Flea Market locations need to provide a valid site survey as well as be listed in the mall directory and complete a verification phone call with the Credit Analyst reviewing the file.
k. Voided check from a checking account this is able to receive ACH credits and debits in the business DBA name or corporate name listed on the Merchant Agreement
    i. Voided checks not required for simplified enrollment applications unless there are issues verifying the banking information.
    ii. Starter Checks require a signed bank letter with bank contact information that verifies the correct account name, routing and DDA numbers and authorized account signer. A verification call by a credit analyst or GIACT verification also acceptable if both lines match (verified customer and account).
    iii. Separate voided check for ACH debit and ACH credit are acceptable (but both checks are needed and account needs to be noted in the notes section of status)
    iv. We can accept voided checks in the name of the business principal in lieu of voided checks with DBA/corporate name listed.
l. Complete recent month's previous processing statements (If the merchant has previous processing history). Previous processing should be used to verify the requested parameters (e.g. merchant application requesting 20K monthly but processing $75K with high batches may require enhanced due diligence in review) and clean processing history.
    i. Less than $75,000 monthly for non-restricted merchants and less than $40,000 monthly for restricted merchants only 1 month satisfactory previous processing is acceptable. Unsatisfactory previous processing would require additional months.
    ii. Greater than $75,000 monthly non-restricted and greater than $40,000 monthly for restricted merchants, three months satisfactory previous processing would be required.
    iii. Restricted merchant types processing less than $40,000 monthly with a future delivery exposure of one week (7 days) or more would require a minimum of three months satisfactory previous processing.
    iv. Some restricted merchant types always require additional processing.

2) **Site Survey - Acceptable 3rd party source options to verify a business DBA and address location**

a. **Restricted merchant types may require three most recent month's business checking statements and previous processing.**

a)Site Survey provided with the initial application
b)KYC Site Scan
c)Current Utility Bill
d)Business License
e)Articles of Organization (outlines initial statements needed to create an LLC)
f)Certificate of Organization (outlines initial statements needed to create an LLC)
g)Articles of Incorporation (legally documents the creation of a corporation)
h)SS4 Forms (provides Employer Identification Number)
i)Any and All State sponsored website results (example: www.sos.state.co.us is for Colorado)
j)Bizapedia search results
k)Merchant Circle (with exception because profiles are easily created)
l)Manta
m)Google Search Results with physical location and photographs
n)City Search
o)Yellow Pages/Yellowbot results
p)Yahoo search results with physical location and photographs
q)Superpages results
r)Yelp with physical location and photographs
s)Processing Statements
t)Bank Statements
u)BBB (better business bureau)
v)Bank Letters
w)"Places" Section of the KYC SiteScan Report

LEVEL 2: HIGH VOLUME-MIXED RETAIL SWIPED/KEYED

- ✔ 50% or greater card present (swiped transactions)
- ✔ Average ticket less than $350
- ✔ High ticket less than $2,000

  (Three months bank statements required for any merchants requesting greater than $2,000 high ticket to verify appropriate cash flow)
- ✔ Processing volume greater than

  $150,000 monthly (or $1.8M annually) for non-restricted merchants

  $85,000 monthly (or $1.0M annually) for restricted merchants

  (Note: that the restricted merchant guidelines on prohibited/restricted may require additional documentation)

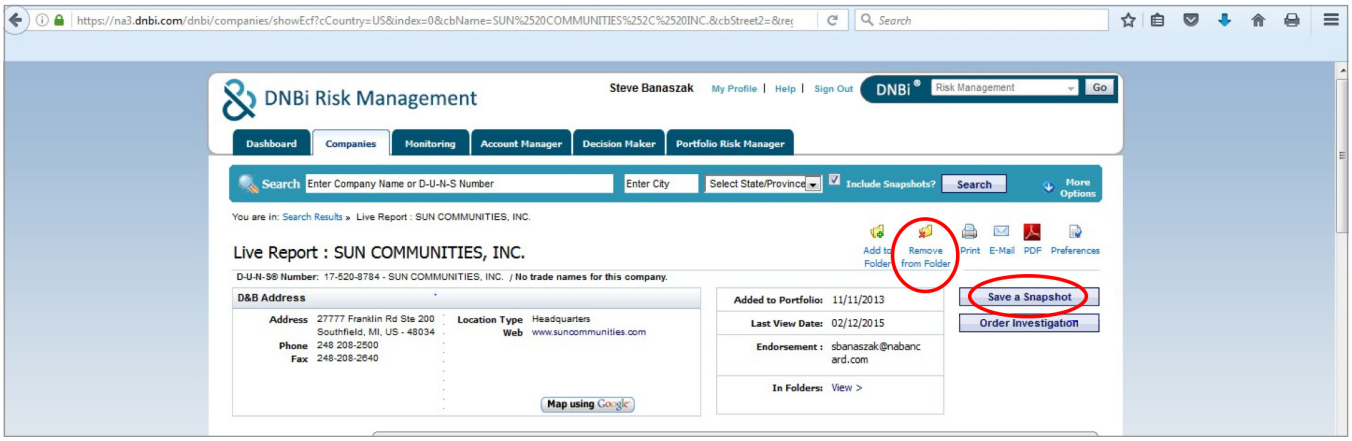
✔ Forward Delivery Exposure less than 30 days

** If merchant does not meet all qualifications listed above it would be considered a level 4 merchant.

Level 2 retail merchants require all the same documentation as Level 1 Merchants as well as the additional items listed below:

1) **Three most recent month's complete previous processing and three most recent month's business checking statements.**

2) **Dun & Bradstreet Search** - If report located the Duns search should be added to the folder as well as a snapshot saved prior to printing. (For future notification monitoring purposes).



Key points

a. Paydex (how well merchant pay vendors i.e. 80 Paydex is paying on time)
b. Commercial Credit Score (relative to regional average & industry average provided)
c. Financial Stress Score (regional average and industry average provided)
d. Conservative Credit limit
e. D&B rating (provides financial details or company size details)
f. Financials (for those corporations that report to D&B)

3) **Financial information.** (2 years are required for comparison, one year may be acceptable with exception). The following is the order of effectiveness for financial information from most effective to least effective

a. Completed audited financial statements
b. Partial audited financial statements (that do not include the auditor's notes)
c. Completed tax returns
d. Partial tax returns with Income statement & balances sheet
e. Internal prepared financial documentation (including Profit & Loss-Statement of Income, Balance Sheet, and Statement of Cash Flows)
f. Interim financial statements

g. Personal Tax returns (typically only received for new business or business with change of ownership were old corporate financial information is not part of bill of sale)

** Partial financials may be subject to management exception upon review (e.g. receipt of income statement but no receipt of balance sheet and statement of cash flow)

Additional optional documentation to strengthen file:

I) Ripoff report

II) Better Business Bureau (BBB) report

III) Third party review sites

LEVEL 3: MOTO MERCHANTS

- ✔ 50% or greater card not present (keyed transactions)
- ✔ Average ticket less than $350
- ✔ High ticket less than $1,000

  (Three months bank statements required for any merchants requesting greater than $1,000 high ticket to verify appropriate cash flow)
- ✔ Processing volume less than

  $85,000 monthly (or $1.0M annually) for all MOTO merchant types

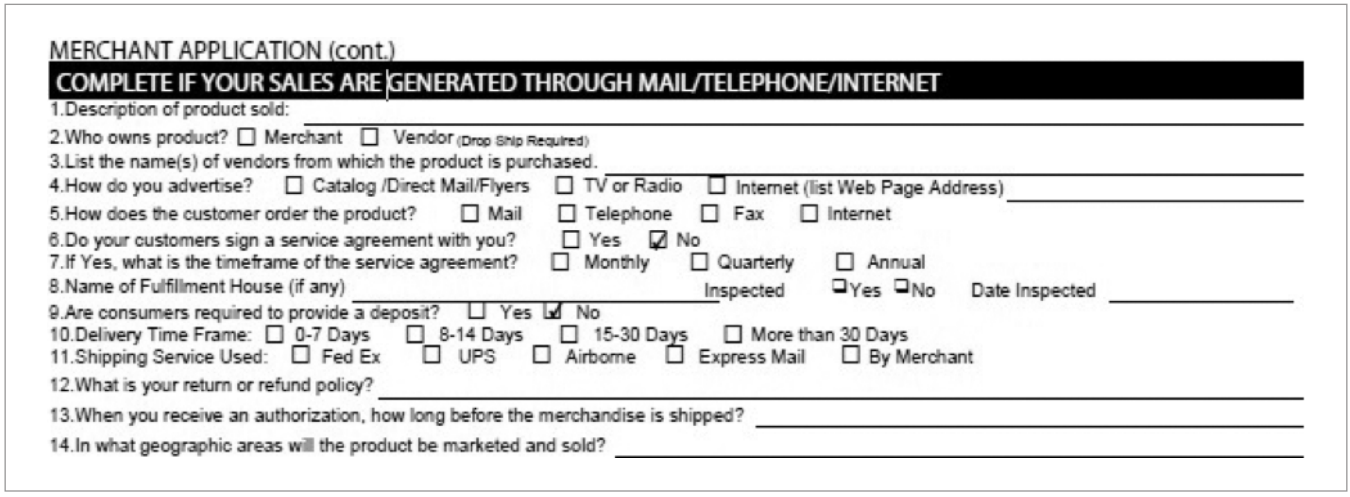
  (**NOTE:** that the restricted merchant guidelines on prohibited/restricted may require additional documentation)
- ✔ Forward Delivery Exposure less than 30 days

** If merchant does not meet all qualifications listed above it would not be considered a level 3 merchant and would need to be reviewed as a level 4 merchant type.

Level 3 MOTO merchants require all the same documentation as Level 1 Retail/Swiped Merchants as well as the additional items listed below:

1) Business description profile (Global/FD application sample below)

** not required to pend back for updated page completion, only update on relevant business details



MERCHANT APPLICATION (cont.)

COMPLETE IF YOUR SALES ARE GENERATED THROUGH MAIL/TELEPHONE/INTERNET

1.Description of product sold: _____

2.Who owns product? ☐ Merchant ☐ Vendor (Drop Ship Required)

3.List the name(s) of vendors from which the product is purchased. _____

4.How do you advertise? ☐ Catalog /Direct Mail/Flyers ☐ TV or Radio ☐ Internet (list Web Page Address) _____

5.How does the customer order the product? ☐ Mail ☐ Telephone ☐ Fax ☐ Internet

6.Do your customers sign a service agreement with you? ☐ Yes ☑ No

7.If Yes, what is the timeframe of the service agreement? ☐ Monthly ☐ Quarterly ☐ Annual

8.Name of Fulfillment House (if any) _____ Inspected ☐Yes ☐No Date Inspected _____

9.Are consumers required to provide a deposit? ☐ Yes ☑ No

10.Delivery Time Frame: ☐ 0-7 Days ☐ 8-14 Days ☐ 15-30 Days ☐ More than 30 Days

11.Shipping Service Used: ☐ Fed Ex ☐ UPS ☐ Airborne ☐ Express Mail ☐ By Merchant

12.What is your return or refund policy? _____

13.When you receive an authorization, how long before the merchandise is shipped? _____

14.In what geographic areas will the product be marketed and sold? _____

2) Three most recent months complete previous processing statements (exceptions may be granted)

3) Marketing Materials - For business with unclear business models/sales methods merchant may need to provide any of the following

a. Copy of sales brochures

b. Marketing materials

The marketing materials will need to verify the merchant's DBA name, address, products and telephone number.

c. Catalogs or advertisements

4) Bank statements may be requested for additional support

Additional optional documentation to strengthen file:

I) Ripoff report

II) Better Business Bureau (BBB) report

III) Third party review sites

LEVEL 4: INTERNET & HIGH VOLUME MOTO MERCHANTS

- ✔ 50% or greater card not present (keyed transactions)
- ✔ Average ticket less than $350
- ✔ High ticket less than $1,000

  (Three months bank statements required for any merchants requesting greater than $1,000 high ticket to verify appropriate cash flow)
- ✔ Processing volume greater than

  $85,000 monthly (or $1.0M annually) for MOTO merchants & All Internet merchants

  (Note: that the restricted merchant guidelines on prohibited/restricted may require additional documentation)
- ✔ Forward Delivery Exposure (less than 90 days)

Level 4 Internet & High volume MOTO merchants require all the same documentation as Level 3 MOTO Merchants (except site surveys are not requirement for internet accounts) as well as the additional items listed below:

1) Website Audit - Review of merchant website confirming the website provides the following:

a. DBA name

b. Confirmation business model matches application

c. Customer Service address

d. Customer Service phone number

e. Contact email address (contact us email on website is acceptable)

f. Pricing (including if there is checkout page)

g. Delivery method (i.e. shipping provider UPS/USPS)
h. Return/Refund Policy
i. Verify the website does not redirect to 3rd party provider

Web audit should provide print screens or printed document including website data (i.e. whois.com to verify registration information including location)

Please note KYC data is acceptable in lieu of new documents.

** MOTO accounts without a website are acceptable

2) **Three most recent month's business checking statements** for all merchant accounts greater than $85K monthly volume and three months processing statements.

3) **Financial information** - Only for accounts greater than $85K monthly volume (2 years are required for comparison, one year may be acceptable with exception). The Following is the order of effectiveness for financial information from most effective to least effective

a. Completed audited financial statements
b. Partial audited financial statements (that do not include the auditor's notes)
c. Completed corporate tax returns
d. Partial corporate tax returns with Income statement & balances sheet
e. Internal prepared financial documentation (including Profit & Loss-Statement of Income, Balance Sheet, and Statement of Cash Flows)
f. Interim financial statements
g. Personal Tax returns (typically only received for new business or business with change of ownership were old corporate financial information is not part of bill of sale)

** Partial financials may be subject to management exception upon review (e.g. receipt of income statement but no receipt of balance sheet and statement of cash flow)

Additional optional documentation to strengthen file:

I) Ripoff report
II) Better Business Bureau (BBB) report
III) Third party review sites

***FDX greater than 90 days would still require all documentation of a Level 4 merchant.